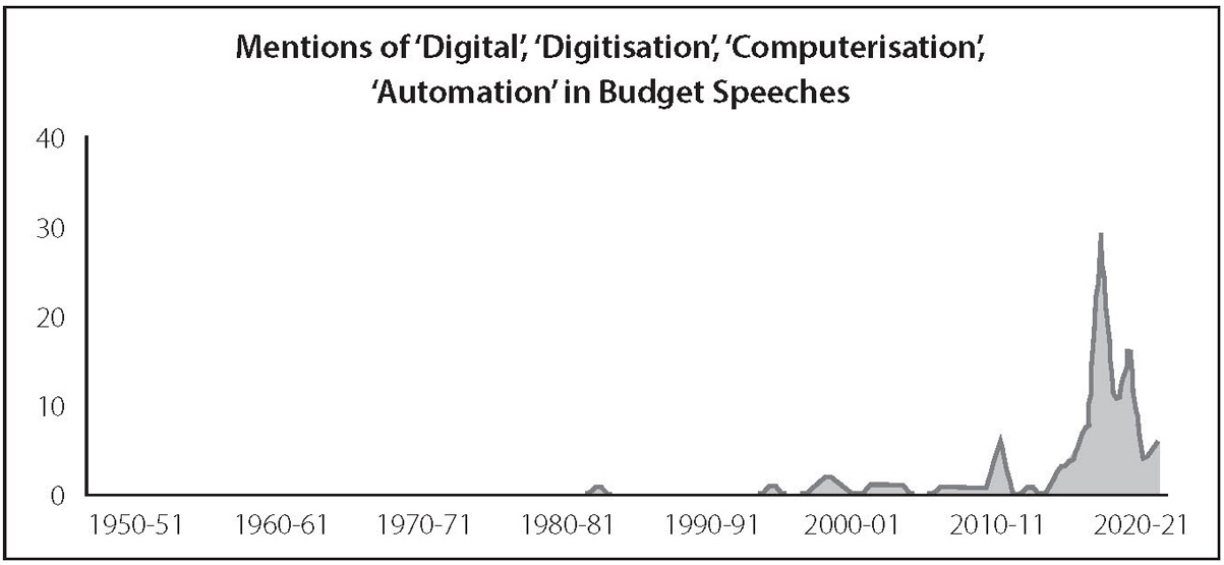


Source: Budget speeches by Union finance ministers. Analysis by Rishabh Srivastava, Nalin Mehta, PollNiti

This went hand-in-hand with a steady increase in digital payments. 'Cash is king, but digital is divine' was the motto laid down by an RBI report on digital payment growth in early 2020.[107] While the first part of the motto still holds true, Indians are definitely waking up to the second. Led mostly by the ease and proliferation of web-based transactions, the use of non-cash payments—cards, e-wallets, e-money—is on the rise. Total digital payment transactions by volume more than tripled between 2016-17 and 2019-20 (see Figure 10.16). The national lockdown of 2020 dampened economic growth and reduced the actual money value flowing through digital transactions, but the number of people adopting digital payments kept growing.

Figure 10.16: Digital Payments on Upward Path in India (2016-17 to 2019-20)